

FIX THE ENGINE BEFORE YOU GROW THE BODY

PopCart is profitable, viral, and growing fast — ₱120M in sales at a 9% margin (Exhibit A) — and quietly losing two-thirds of its profit to a leak no one is watching.

Here's where the money goes — and the cheapest way to stop it.

THE BOTTOM LINE

If you read one slide, read this one — the entire case in five answers.

OUR CALL: Fix operations first. Expand only in sequence — never all at once.

Q1 · Biggest problem Stockouts — ₱7.35M/yr in lost gross profit, not shipping (Exhibit C)

Q2 · Where to expand Nowhere yet — fix ops online; a Cebu 3PL is gated to Month 7

Q3 · The tool A simple dashboard that gives earlier reorder warnings (improves Exhibit D)

Q4 · The impact Stockout days 11 → ~6/mo; inventory updates 2×/day → every 2h (Exhibit C/D)

Q5 · Worth it? Adds ₱1.0–1.6M recurring benefit/yr; ₱1.4M setup; ~13–20 mo payback

₱7.35M gross-profit leak · +₱0.20M cautious recurring floor · 13–20 mo payback

FIVE PROBLEMS, ONE QUESTION

Before choosing a fix, we asked a sharper question: which problem is quietly the most expensive?

1	Shipping to Visayas / Mindanao is costly	₱155 / ₱185 per order	Exhibit B
2	Delivery is slow	5–7 days (Cebu), 7–10 days (Davao)	Exhibit B
3	Products arrive damaged	4.2% / 5.0% return rate	Exhibit B
4	Stockouts on viral best-sellers	out of stock up to 11 days/mo	Exhibit C
5	90% of sales on one channel	TikTok Shop dependence	Exhibit D

Shipping is the loudest cost. Stockouts are the quietest quantified opportunity — and the cheapest first move to test.

FOLLOW THE MONEY

Read Exhibit A with us — where does PopCart's ₱120M actually go?

Revenue	₱120.0M	100%
– Cost of goods sold	(₱60.0M)	50%
– Platform fees & marketing	(₱12.0M)	10%
– Logistics & shipping subsidies	(₱24.0M)	20%
– Warehouse OpEx + Admin	(₱13.2M)	11%
= Net profit	₱10.8M	9%

THE OBVIOUS INSTINCT

Shipping is 20% of revenue — the biggest controllable line.

So cut it: build a regional hub.

It feels right.

Watch what happens when we test it. →

Source — Exhibit A — Simplified Financial Snapshot, FY2025

THE LEAK YOU CAN'T SEE

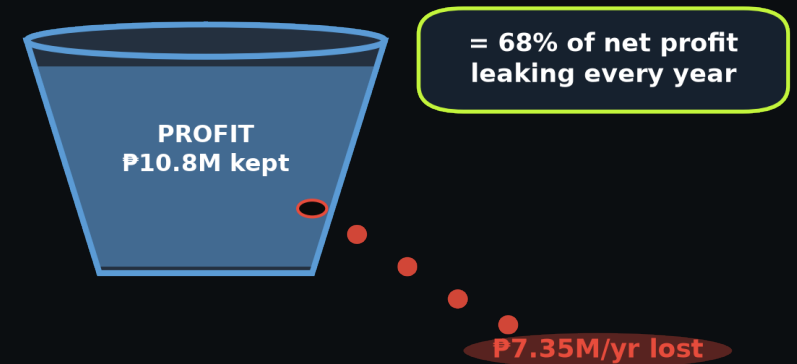
Now read Exhibit C — and do this one calculation with us.

- Freeze-dried candy sells 300 units/day — but is out of stock 11 days a month (Exhibit C).
- $300 \times 11 \times 12 = 39,600$ units never sold $\rightarrow \times \text{₱}180 = \text{₱}7.13\text{M} \rightarrow \times 50\%$ margin (Exhibit A) = $\text{₱}3.56\text{M}$ lost on ONE product.
- Across all fast-movers: $\text{₱}7.35\text{M/yr}$ in lost gross profit = 68% of net profit (Exhibit A).
- Exhibit D shows the control gap: stock updates happen by hand twice a day, while ordering relies on visual checks and gut feel.

Shipping is the biggest cost. Stockouts are the biggest quantified recoverable opportunity.

Source — Exhibit C (velocity) · Exhibit A (margin) · Exhibit D (manual ops)

The leak you can't see



"You see the empty shelf — never the pesos walking out the door."

WHY THE OBVIOUS MOVE BACKFIRES

Remember the 'build a hub' instinct? Let's put real numbers on it.

- Central Visayas: 48,100 orders/yr (Assumption B) at ₱155/order (Exhibit B).
- A hub cuts shipping ~₱50/order (Assumption D) → $48,100 \times ₱50 = ₱2.4\text{M}$ saved.
- Base damage savings (~₱0.29M) + 15% growth (~₱2.34M GP) lift total benefit to only ~₱5.04M.
- Against ₱9M annual operating cost, the base case loses ~₱3.96M.
- Break-even needs roughly 40% regional growth — above the case's 15–30% planning range.

WHAT A HUB DOES TO THE MATH

₱5.04M total benefit

₱9M to run /yr

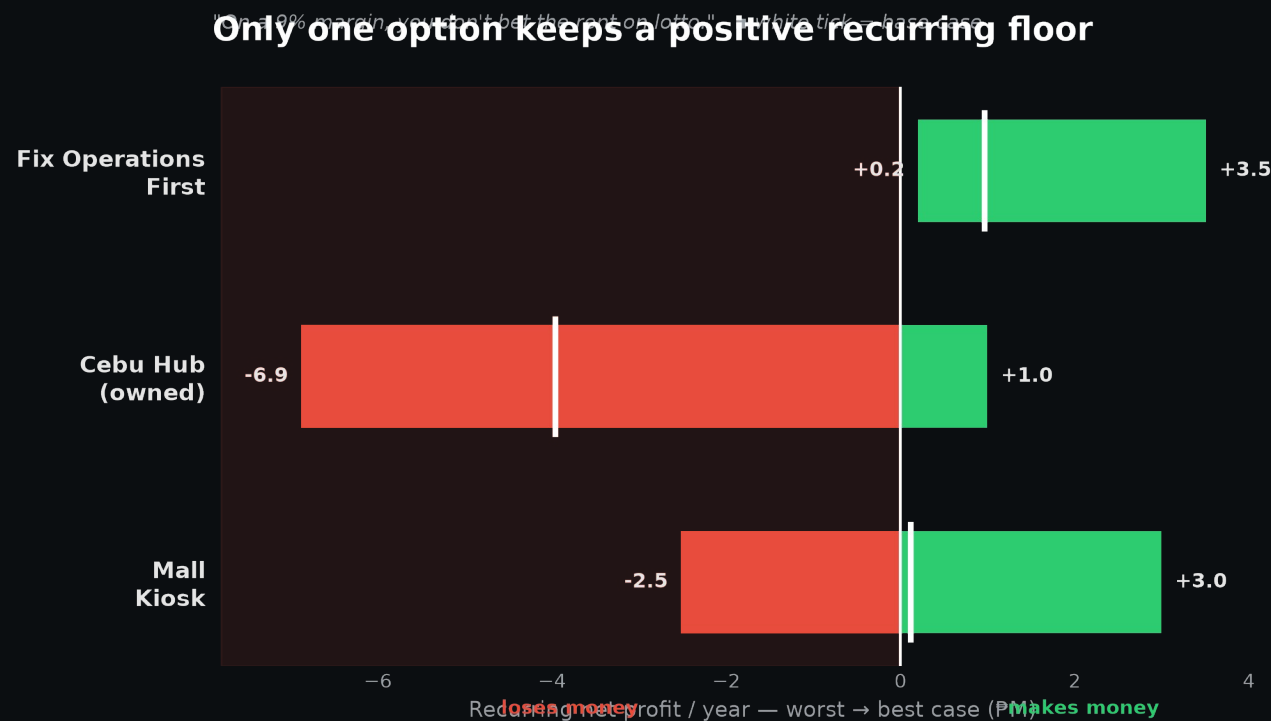
Base case still loses ~₱3.96M / year

Source — Exhibit B · Assumptions B/C/D/E · Exhibit A

THE OPTIONS, **SIDE BY SIDE**

We modeled each option's range — because on a 9% margin, the downside matters as much as the upside.

- Fix Operations: +P0.2M → +P3.5M — the recurring floor stays positive.
- Cebu hub (owned): -P6.9M → +P1.0M — loses in 2 of 3.
- Mall kiosk: -P2.5M → +P3.0M — a coin-flip on foot traffic (Assumption F).
- Decision rule: protect the downside first; earn the upside through measured pilots.



Source — Model on Exhibit C + Assumptions C/D/E/F · full math in Appendix

FIX THE ENGINE FIRST, THEN EXPAND

One primary move, one supporting channel test, one gated pilot — each step must earn the next.

PRIMARY · MONTHS 1–6

Fix operations

Build stock visibility + earlier warnings. Test a small webstore and measure real orders.

GATED · MONTH 7+

Cebu 3PL pilot

Only if all partner costs fit below ~₱56/order — then prove it in an 8-week pilot.

YEAR 2 · DEFERRED

Kiosk / owned hub

Evaluated later from real operating and Cebu-pilot evidence; not funded in Year 1.

The principle: earn the right to expand. Year 1 builds operating proof that makes Year-2 growth safer.

AN EARLIER WARNING, **WHILE THERE'S TIME**

Ramen can have 20 days of stock left and still be late to reorder — because its supplier needs 30 days.

1 · UPDATE

Bring daily sales, current stock, incoming orders, and supplier lead time into one sheet.

2 · COMPARE

Ask: will available and incoming stock last until the next delivery arrives?

3 · WARN

Flag the products likely to run short and show the projected gap.

4 · DECIDE

Founder checks cash, supplier availability, and minimum order size before approving.

5 · LEARN Compare alerts with actual results weekly. Start with Excel + Power Query + barcode checks; add AI trend signals only after the basic data is reliable.

Source — Exhibit D (current process) · Exhibit C (lead times)

WE TESTED THE DECISION PROCESS

A working prototype shows how an earlier warning changes when the evidence changes.

PopCart — Morning Control Dashboard

Prototype using case baselines + illustrative operating data. All figures live-linked to the Control Panel.

SKUs to reorder TODAY	₱ contribution exposed if OOS/day	Viral items rising 🔥
3	55,410	1

TODAY'S ACTION LIST (system recommends — founder approves)

SKU	Status	Suggested order qty	Days cover left	₱ if OOS/day	Trend
Freeze-Dried Candy Mix	🔴 REORDER NOW	9816	5.8	23,328	🔥 rising
Spicy Korean Ramen Bundles	🔴 REORDER NOW	6010	20.2	23,712	steady
Giant Bubble Gum Tubs	🟢 OK	0	19.5	10,824	steady
Assorted Chocolate Crunch Bars	🔴 REORDER NOW	3618	16.1	8,370	steady
Sour Belts & Bulk Packs	🟢 OK	0	21.7	4,320	steady

"Reorder before the shelf is empty — not after. The fuel light, for snacks."

Prototype — case baselines + clearly labeled illustrative operating data

Example: ramen shows ~20 days of stock cover, but its supplier needs 30 days (Exhibit C) — so the warning appears before the shelf is empty. This is not PopCart's live inventory and it does not place orders automatically.

WHAT YEAR 1 SOLVES — AND DEFERS

A credible strategy states what the primary move improves — and what still needs a separate pilot.

PROBLEM	BASELINE (SOURCE)	AFTER YEAR 1	HOW
Stockouts	11 days/mo (Exhibit C)	~6 base; ~4–8 range	earlier warnings + 25–60% reduction
Inventory visibility	2×/day manual (Exhibit D)	every 2h after pilot	scheduled refresh + barcode checks
Channel risk	90% TikTok (Exhibit D)	second channel tested	webstore sales must be earned, not assumed
Shipping / delay / damage	₱155, 5–7d, 4.2% CV (Exhibit B)	not promised by primary move	only after a successful 3PL pilot

Source — Exhibit B · Exhibit C · Exhibit D · Assumption D

TEST CEBU BEFORE **OWNING THE HUB**

A 3PL is an outside warehouse that stores and ships selected products for a per-order fee.

- Owned hub: ₱7.2–10.8M/yr operating cost whether volume arrives or not (Assumption C).
- 3PL pilot: smaller commitment, per-order charges, selected products only.
- Cebu before Davao: higher volume (26% vs 17% — Exhibit B / Assump. B).
- Gate: storage + transfer + pick-pack + returns + minimums must fit below ~₱56/order.
- Proof: 8-week pilot; measure total cost/order, delivery time, damage, and stock availability.

Buying a car vs taking Grab

OWNED HUB = buy a car



₱9M/year whether
you drive or not (fixed)

worst case —₱6.9M

3PL = take Grab

₱/ride

pay only when
you ship (variable)

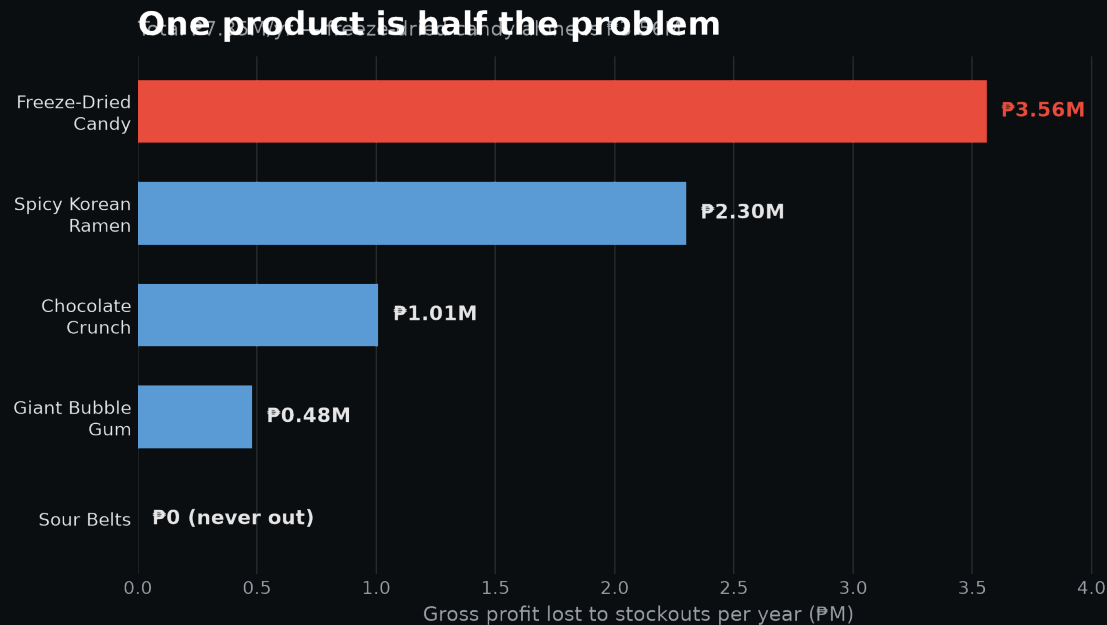
start here, scale safely

"Don't know how far you'll drive? Take Grab first — then buy the car."

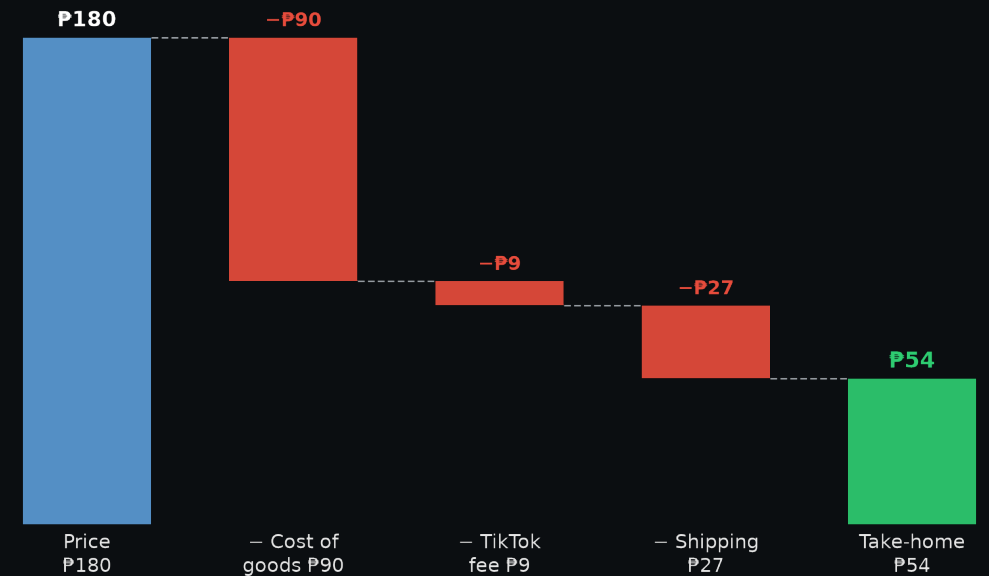
Source — Exhibit B · Exhibit D · Assumptions B/C/D

THE HONEST MONEY

We could have claimed the full ₱7.35M. Here's the number we'd actually keep.



Gross salary vs take-home pay



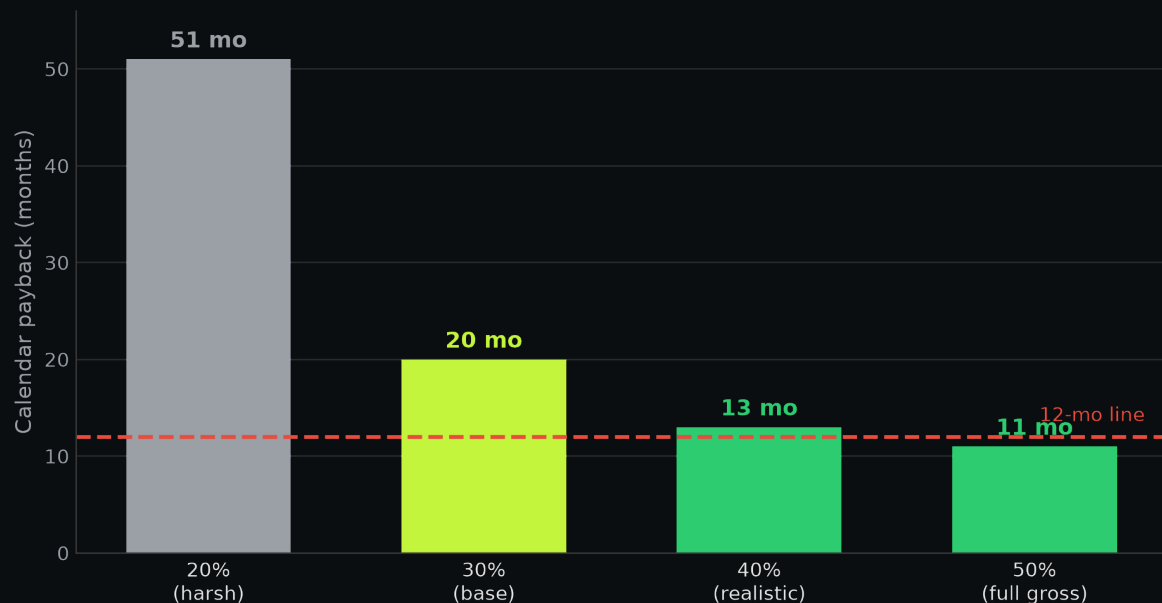
Base math: ₱14.70M lost sales × 42.5% recovery = ₱6.25M recovered revenue. At 30–40% money left after product, platform, and shipping costs: ₱1.87–2.50M. Less ₱0.90M annual system cost = ₱0.97–1.60M recurring benefit; one-time setup = ₱1.40M.

Source — Exhibit A · Exhibit C · Assumption D

PAYBACK, WITHOUT PRETENDING

Expected payback is ~13–20 months at 30–40% take-home margin — slower if fewer sales are recovered.

Payback changes with the money left from each recovered sale



Year 1 you plant. Year 2 you harvest.



Year 1 is an investment year (–P0.67M cash); net-positive thereafter. The case allows a payback beyond 12 months if stated honestly. The hub never pays back in its base case.

Source — Model on Exhibit C + Assumptions C/D

BUILD THE HABIT, THEN TEST EXPANSION

Each phase produces evidence for the next decision — with a clear stop point if the numbers fail.



People: warehouse manager + two admins run the daily process; founders approve purchase orders and the Cebu go/no-go.

STOP THE LEAK. EARN THE GROWTH.

We tried to break our own plan — here's where it held, and where it lands.

RISKS → MITIGATIONS

- Staff adoption → familiar Excel/Power Query workflow + training.
- Channel shock → webstore test by Month 6; measure orders before claiming diversification.
- Recovery below model → track stockout days + recovered sales monthly; adjust or stop.
- Hub under-use → deferred behind a unit-economics gate.
- Long leads, ramen 30d (Exhibit C) → pre-order + 2nd supplier.

EXPECTED IMPACT

~6

**stockout
days**
from 11 (Exhibit
C)

2h

update cycle
from 2×/day
(Exh. D)

₱1M

**recurring /
yr**
base ₱0.97M;
up to ₱1.6M

**“Success isn't found in the newest hub —
it's in the precision of the shelf.”**

APPENDIX A — AI DISCLOSURE

AI was our analytical partner — and we checked every number it produced against the exhibits.

TOOL	WHERE WE USED IT
AI assistants ([Claude / Gemini / ChatGPT])	Structured the exhibits; ranked the money leaks; drafted copy; red-teamed the strategy
Python (written with AI help)	popcart_model.py — scenario financials & payback; build_prototype.py — the reorder prototype
Google Trends / public web	Market context on TikTok Shop PH & snack e-commerce
[Canva / PowerPoint]	Slide design, charts, and this deck

"AI was an analytical and drafting partner. Every figure was verified against the case exhibits. No output was presented as fact without human checking."

APPENDIX B — THE WORKING MODEL

Every cell is a real formula — the README tab documents the math, so it's fully auditable.

STEP 2 — REORDER CONTROL PANEL · "the fuel light for every SKU"

Reorder Point = forecast daily demand × lead time + safety stock. Status flags ● when stock on hand falls to/below it. System recommends; founder decides.

SKU	Price P	Lead (days)	Stock on hand	Avg/day (7d)	Avg/day (14d)	Avg/day (28d)	TikTok idx (0-100)	Viral ×	Forecast /day	Safety stock	Reorder point	STATUS	Suggested order qty	Days cover	P contribution if OOS/day
Freeze-Dried Candy Mix	180	14	2500	354	329	309	88	1.28	432	220	6268	● REORDER NOW	9816	5.8	23,328
Spicy Korean Ramen Bundles	320	30	5000	239	233	241	64	1.04	247	142	7552	● REORDER NOW	6010	20.2	23,712
Giant Bubble Gum Tubs	220	7	3200	156	170	175	45	1.00	164	70	1218	● OK	0	19.5	10,824
Assorted Chocolate Crunch Bars	150	21	3000	173	168	163	70	1.10	186	108	4014	● REORDER NOW	3618	16.1	8,370
Sour Belts & Bulk Packs	120	7	2600	119	120	120	50	1.00	120	42	882	● OK	0	21.7	4,320

How to read this panel:

- Forecast/day = weighted recency (50% of 7-day, 30% of 14-day, 20% of 28-day) × viral multiplier.
- Viral × rises with the TikTok engagement index (leading signal) — pre-empts a spike before sales fully show it.
- Safety stock = $1.65 \times \text{demand volatility (st-dev)} \times \sqrt{\text{lead time}}$ → ~95% service level; bigger when sales are choppy or lead times long.
- Reorder point (the fuel light) = forecast/day × lead time + safety stock. Order BEFORE stock hits it, because restock takes the lead time to arrive.
- P contribution if OOS/day = forecast/day × price × 30% — an illustrative exposure if the item becomes unavailable, not a claim of today's actual loss.

Reorder Control Panel — forecast, safety stock, reorder point, status, suggested qty (live formulas)

Forecast/day = weighted 7/14/28-day × viral multiplier · Safety stock = $1.65 \times \text{volatility} \times \sqrt{\text{lead-time}}$ (~95% service) · Reorder point = forecast × lead-time + safety stock

APPENDIX C — ASSUMPTIONS & SOURCES

We'd rather show our working than hide it — here is every assumption behind the numbers.

- AOV ₱650; 185,000 orders/yr (Assumption A/B). Blended gross margin 50% (Exhibit A).
- Contribution margin ~30% on recovered sales — nets out platform fees + shipping (the honest value, not 50% gross).
- Stockout recovery 25–60% (Assumption D); base case 42.5%.
- Damage loss/order ~₱480 (COGS + wasted shipping).
- Hub growth credited generously at 50% — we handicap the option we reject; Fix-Ops still wins.
- Expansion costs from Assumption C; 3-month build before benefits flow; tools at MSME low-end.
- Prototype daily-sales & TikTok index are illustrative samples — the logic is the deliverable.